MATH 330: Measure-Theoretic Probability Theory
Fall 2026: Lectures given by Abbas Al Hakim
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Chapter 1

Introduction and Motivation

Definition 1.1. A probability space is a triple $(\Omega, \mathcal{F}, P)$ where Ω is the sample space, $\mathcal{F}$ is a collection of sets in which we can assign a probability and P is the probability function. We will expand this definition in the next chapter.

Remark 1.1. In a finite sample space we have $\mathcal{F} = 2^{\Omega}$.

Example 1.1. Consider a random chord of length ℓ in a circle. Find $P[\ell > \sqrt{3}]$. We will discuss three different methods to solve this.

(1) Method 1: Inscribe an equilateral triangle in the circle. Take the perpendicular from the vertex of the triangle. Then the probability becomes

$$P[\ell > \sqrt{3}] = \frac{60}{180} = \frac{1}{3}$$

. Where 60 is the angle of the triangle and 180 is the total angle of the circle.

(2) Method 2: Inscribe an equilateral triangle in the circle and the midpoint of its height. Then the probability becomes

$$P[\ell > \sqrt{3}] = \frac{1}{2}$$

.

(3) Method 3: Inscribe an equilateral triangle in the circle and inscribe a circle inside the triangle then the probability becomes

$$P[\ell > \sqrt{3}] = \frac{\text{area of small circle}}{\text{area of big circle}} = \frac{1}{4}$$

.

Example 1.2. What is the probability of choosing the number 7 from a uniform distribution over $\mathbb{N}$? The answer is 0

- if $p > 0$ then for large n $np > 1$ which is absurd.
- if $p = 0$ then $\sum_{n=1}^{\infty} P(\{n\}) = 0$

Example 1.3. Let $\Omega = [0, 1]$ and choose X uniformly from Ω. Then $P[X = x] = 0 \quad \forall x \in \Omega$, but $P[X \in [0, \frac{1}{2}]] = \frac{1}{2}$. Why? because its continuous. We can't assign probability to intervals from points because an interval is an uncountable collection of points. So we need to assign probability to the interval itself.

Remark 1.2. We can constract a set for which we can't assign a probability. For example, consider the set $A = \{x + y\sqrt{2} : x, y \in \mathbb{Q}\}$. Then A is dense in $\mathbb{R}$ and we can't assign a probability to it.

1.1 Expectation

Definition 1.2. The discrete expectation of a random variable X is defined as

$$\mathbb{E}[X] = \sum_{x \in \Omega} xP(X = x)$$

Definition 1.3. The absolute continuous expectation of a random variable X is defined as

$$\mathbb{E}[X] = \int_{-\infty}^{\infty} x f_X(x) dx$$

where $f_X(x)$ is the probability density function of X.

Remark 1.3. In both cases this only holds if $\int_{-\infty}^{\infty} |x| f_X(x) dx < \infty$ absolute convergence.

1.2 Random variable

Definition 1.4. A random variable is a function $X : \Omega \to \mathbb{R}$ that assigns a real number to each outcome in the sample space Ω.

$$X : \Omega \to \mathbb{R} \qquad \omega \mapsto X(\omega)$$

and the expected value is

$$\mathbb{E}[X] = \int_{\Omega} X(\omega) dP(\omega) = \int_{\Omega} X(\omega) P(d\omega)$$

Chapter 2

Measure theory

Definition 2.1. A field or algebra is a collection of sets $\mathcal{C}$ satisying the following:

(1) $\Omega \in \mathcal{C}$

(2) If $A \in \mathcal{C}$ then $A^c \in \mathcal{C}$

(3) If $A, B \in \mathcal{C}$ then $A \cup B \in \mathcal{C}$

Definition 2.2. A $\sigma -$ field or a $\sigma-$algebra is a collection of sets $\mathcal{F}$ satisfying the following:

(1) $\Omega \in \mathcal{F}$

(2) If $A \in \mathcal{F}$ then $A^c \in \mathcal{F}$

(3) If $A_1, A_2, \ldots \in \mathcal{F}$ then $\bigcup_{i=1}^{\infty} A_i \in \mathcal{F}$

Remark 2.1. Some are the following properties of fields and $\sigma-$algebras which are simple to prove:

(1) $A_1, A_2, \ldots, A_n \in \mathcal{C} \implies \bigcup_{i=1}^{n} A_i \in \mathcal{C}$

(2) $A_1, A_2, \ldots, A_n \in \mathcal{C} \implies \bigcap_{i=1}^{n} A_i \in \mathcal{C}$

(3) $A_1, A_2, \ldots, A_n \in \mathcal{F} \implies \bigcap_{i=1}^{\infty} A_i \in \mathcal{F}$

Remark 2.2. If $\mathcal{F}$ is a $\sigma-$algebra then $\mathcal{F}$ is a field. But the converse is not true. For example, consider $\Omega = \mathbb{R}$ and $\mathcal{C} = \{A \subseteq \mathbb{R} : A \text{ is finite or } A^c \text{ is finite}\}$. Then $\mathcal{C}$ is a field but not a $\sigma-$algebra.

Definition 2.3. Given a collection C of sets then the $\sigma -$ field generated by C is denoted by $\sigma(C)$ and in fact is the smallest $\sigma -$ field that contains C. In other words, if $\mathcal{F}$ is a $\sigma -$ field such that $C \subseteq \mathcal{F}$ then $\sigma(C) \subseteq \mathcal{F}$.

Proof. Let $\aleph = \{\mathcal{F} : \mathcal{F}\text{is a } \sigma - \text{field and } \mathcal{F} \supseteq C\}$. Then $\aleph$ is nonempty because $2^{\mathcal{C}}$ is a $\sigma -$ field that contains $\mathcal{C}$. Define $\sigma(\mathcal{C}) = \bigcap_{\mathcal{F} \in \aleph} \mathcal{F}$ □

Note 2.1. 2^{Ω} is a $\sigma -$ field

Remark 2.3. The following are some remarks on $\sigma -$ fields

(1) If F_1, F_2 are $\sigma -$ fields then $F_1 \cap F_2$ is a $\sigma -$ field.

(2) If F_1, F_2 are $\sigma -$ fields then $F_1 \cup F_2$ is not necessarily a $\sigma -$ field.

(3) If F_α is a collection of $\sigma -$ fields then $\bigcap_\alpha F_\alpha$ is a $\sigma -$ field.

Example 2.1. Let $\Omega = \mathbb{R}$, $A = [0,1]$, $B = [3,4]$ then $\sigma(\{A\}) = \{\Omega, \emptyset, A, A^c\}$ and $\sigma(\{B\}) = \{\Omega, \emptyset, B, B^c\}$. But $\sigma(\{A\}) \cup \sigma(\{B\}) = \{\Omega, \emptyset, A, A^c, B, B^c\}$ is not a $\sigma -$ field.

Definition 2.4. The Borel $\sigma -$ field-algebra is the $\sigma -$ field-algebra generated by the open sets in $\mathbb{R}$. We denote it by $\mathcal{B}(\mathbb{R})$.

Remark 2.4. The Borel $\sigma -$ field can be generated by the closed sets, the open intervals, the closed intervals, the half-open intervals, and the half-closed intervals.

2.1 Limit of sets

Definition 2.5. A sequence of sets $\{A_n\}_{n=1}^{\infty}$ with $A_n \subset \Omega$. We define the following:

(1) $\inf_{k\geq n} A_k = \bigcap_{k\geq n} A_k$

(2) $\sup_{k\geq n} A_k = \bigcup_{k\geq n} A_k$

(3) $\liminf_{n\to\infty} A_n = \sup_{n\geq 1} \inf_{k\geq n} A_k = \bigcup_{n=1}^{\infty} \bigcap_{k\geq n} A_k$

(4) $\limsup_{n\to\infty} A_n = \inf_{n\geq 1} \sup_{k\geq n} A_k = \bigcap_{n=1}^{\infty} \bigcup_{k\geq n} A_k$

Remark 2.5. We can notice the following :

(1) $\bigcap_{k=1}^{\infty} A_k, \bigcup_{k=2}^{\infty} A_k, \ldots$ is increasing

(2) $\bigcup_{k=1}^{\infty} A_k, \bigcap_{k=2}^{\infty} A_k, \ldots$ is decreasing

(3) All the above are sets in the $\sigma -$ field if $A, B \in \mathcal{B}$. (Borel $\sigma -$ field)

(4) $(\liminf_{n\to\infty} A_n)^c = (\bigcap_{n=1}^{\infty} \bigcup_{k\geq n} A_k^c) = \limsup_{n\to\infty} A_n^c$

Definition 2.6. The limit of $A_1, A_2, \ldots$ exists if and only if $\liminf_{n\to\infty} A_n = \limsup_{n\to\infty} A_n$ and we denote it by $\lim_{n\to\infty} A_n$.

Example 2.2.

$$\liminf_{n\to\infty} \left[0, \frac{n}{n+1}\right) = \bigcup_{n=1}^{\infty} \bigcap_{k=n}^{\infty} \left[0, \frac{k}{k+1}\right) = \bigcup_{n=1}^{\infty} \left[0, \frac{n}{n+1}\right) = [0,1),$$

$$\limsup_{n\to\infty} \left[0, \frac{n}{n+1}\right) = \bigcap_{n=1}^{\infty} \bigcup_{k=n}^{\infty} \left[0, \frac{k}{k+1}\right) = \bigcap_{n=1}^{\infty} [0,1) = [0,1).$$

Therefore, $\lim_{n\to\infty} \left[0, \frac{n}{n+1}\right) = [0,1)$.

Lemma 2.1.

$$\begin{aligned}\limsup_{n\to\infty} A_n &= \left\{\omega \in \Omega : \sum_{n=1}^{\infty} \mathbb{1}_{A_n}(\omega) = \infty\right\} \\ &= \{\omega : \omega \in A_{n_k} \textit{ for infinitely many } k\} = \{A_n \textit{ i.o.}\},\end{aligned}$$

where (n_k) is a subsequence depending on ω and $\mathbb{1}$ is the indicator function.

Proof. Suppose that $\omega \in \limsup_{n\to\infty} A_n = \bigcap_{n=1}^{\infty} \bigcup_{k=n}^{\infty} A_k$. Then for all n we have $\omega = \bigcup_{k=n} A_k$ □

Remark 2.6. $\liminf_{n\to\infty} A_n \subseteq \limsup_{n\to\infty} A_n$

2.1.1 Monotone sequence of sets

Definition 2.7. We say that A_n is increasing if $A_i \subset A_{i+1}$ for all $i \in \mathbb{N}$, and we say that A_n is decreasing if $A_i \supset A_{i+1}$ for all $i \in \mathbb{N}$.

Proposition 2.1. *We define the following:*

(1) If A_n is increasing, then $\lim_{n\to\infty} A_n = A$ and $A = \bigcup_{n=1}^{\infty} A_n$.

(2) If A_n is decreasing, then $\lim_{n\to\infty} A_n = A$ and $A = \bigcap_{n=1}^{\infty} A_n$.

Proof. We prove the first part of the above proposition:

(1) For an increasing sequence,

$$\liminf_{n\to\infty} A_n = \bigcup_{n=1}^{\infty} \bigcap_{k=n}^{\infty} A_k = \bigcup_{n=1}^{\infty} A_n,$$
$$\limsup_{n\to\infty} A_n = \bigcap_{n=1}^{\infty} \bigcup_{k=n}^{\infty} A_k = \bigcup_{n=1}^{\infty} A_n.$$

Indeed, if an element belongs to some A_m, then it belongs to every A_k with $k \geq m$. Therefore, $\limsup A_n = \liminf A_n = \lim A_n = \bigcup_{n=1}^{\infty} A_n$.

□

Corollary 2.1. *For any sequence of sets A_n, we have*

$$\liminf A_n = \bigcup_{n=1}^{\infty} \bigcap_{k=n}^{\infty} A_k = \lim_{n\to\infty} (\inf_{k\geq n} A_k)$$

Similarly,

$$\limsup A_n = \bigcap_{n=1}^{\infty} \bigcup_{k=n}^{\infty} A_k = \lim_{n\to\infty} (\sup_{k\geq n} A_k)$$

Remark 2.7. The inclusion-exclusion principle is a fundamental tool in probability theory. It allows us to compute the probability of the union of events by considering the probabilities of their intersections. To show that a sequence of random variables X_n converges to X_0 almost surely (a.s), i.e

$$P[\{\omega : X_n(\omega) \to X_0(\omega)\}] = 1$$

Then we need equivalently to prove that $\forall \varepsilon > 0$ we have

$$P[|X_n(\omega) - X_0(\omega) > \varepsilon \quad \text{i.o}] = 0$$

2.2 Probability Space

Definition 2.8. A probability sspace is a triple $(\Omega, \mathcal{F}, P)$ where Ω is the sample space, $\mathcal{B}$ is a σ-algebra of events, and P is a probability measure.

Axioms 2.1. $P : \mathcal{B} \to \mathbb{R}$ such that

(1) $P(A) \geq 0$ for all $A \in \mathcal{B}$

(2) $P(\Omega) = 1$

(3) $\sigma-$additivity: If $\{A_j\}_{j=1}^{\infty}$ is a sequence of disjoint sets in $\mathcal{B}$, then $P\left(\bigcup_{j=1}^{\infty} A_j\right) = \sum_{j=1}^{\infty} P(A_j)$.

Theorem 2.1 (Basic Theorems)**.** *The following are some of the basic theorems:*

(1) $P(\emptyset) = 0$

Proof. Let $A_1 = \Omega$ and $A_n = \emptyset$ for all $n \geq 2$. Then by $\sigma-$additivity we have

$$P(\Omega) = P\left(\bigcup_{n=1}^{\infty} A_n\right) = \sum_{n=1}^{\infty} P(A_n) = P(\Omega) + \sum_{n=2}^{\infty} P(\emptyset)$$

which implies that $P(\emptyset) = 0$. □

(2) Finite additivity: If $A_1, A_2, \ldots, A_n$ are disjoint sets in $\mathcal{B}$, then $P\left(\bigcup_{j=1}^{n} A_j\right) = \sum_{j=1}^{n} P(A_j)$.

Proof. Let $A_1, A_2, \ldots, A_n$ be disjoint sets in $\mathcal{B}$. Define $A_{n+1} = A_{n+2} = \ldots = \emptyset$. Then by $\sigma-$additivity we have

$$P\left(\bigcup_{j=1}^{\infty} A_j\right) = \sum_{j=1}^{\infty} P(A_j) = \sum_{j=1}^{n} P(A_j) + \sum_{j=n+1}^{\infty} P(\emptyset) = \sum_{j=1}^{n} P(A_j)$$

which implies that $P\left(\bigcup_{j=1}^{n} A_j\right) = \sum_{j=1}^{n} P(A_j)$. □

(3) Inclusion - Exclusion: For 2 events:

$$P(A \cup B) = P(A) + P(B) - P(A \cap B)$$

Proof. $P(A_1) = P(A_1A_2) + P(A_1A_2^c)$ and $P(A_2) = P(A_1A_2) + P(A_1^cA_2)$ then

$$P(A_1) + P(A_2) = P(A_1A_2) + P(A_1A_2^c) + P(A_1A_2) + P(A_1^cA_2) = P(A_1A_2) + P(A_1 \cup A_2)$$

which implies that

$$P(A \cup B) = P(A) + P(B) - P(A \cap B)$$

Then by induction we can prove the general case for n events which is

$$P\left(\bigcup_{i=1}^{n} A_i\right) = \sum_{k=1}^{n} \sum_{1 \leq i_i < \ldots < i_k \leq n} (-1)^{k+1} P\left(\bigcap_{j=1}^{k} A_{i_j}\right)$$

□

(4) Bonferonni's Inequalities:

(1)

$$P(\bigcup_{i=1}^{n} A_i) \leq \sum_{i=1}^{n} P(A_i)$$

(2)

$$P(\bigcap_{i=1}^{n} A_i) \geq \sum P(A_i) - \sum_{1\leq i<j\leq n} P(A_i \cap A_j)$$

(5) Monotonicity:

$$P(\bigcup_{i=1}^{\infty} A_n) \leq \sum_{i=1}^{\infty} P(A_i)$$

Proof. Let $B_1 = A_1$ and $B_i = A_i \setminus \bigcup_{j=1}^{i-1} A_j$ for $i \geq 2$. Then $\bigcup_{i=1}^{n} A_i = \bigcup_{i=1}^{n} B_i$ and the sets B_i are disjoint. Therefore, by finite additivity,

$$P\left(\bigcup_{i=1}^{n} A_i\right) = P\left(\bigcup_{i=1}^{n} B_i\right) = \sum_{i=1}^{n} P(B_i) \leq \sum_{i=1}^{n} P(A_i)$$

which implies that $P(\bigcup_{i=1}^{\infty} A_n) \leq \sum_{i=1}^{\infty} P(A_i)$. □

(6) Continuity of probability for monotone sequences: Let A_i be increasing and $A_i \in B$ then $P(\lim A_i) = \lim P(A_i)$

Proof. — Homework □

(7) Fatou's Lemma: Let $A_n \in B$ then:

$$P(\liminf A_n) \leq \liminf P(A_n) \leq \limsup P(A_n) \leq P(\limsup A_n)$$

Idea of proof. Since $\liminf A_n = \bigcup_{n=1}^{\infty} \bigcap_{k\geq n} A_k$, by continuity from below,

$$P(\liminf A_n) = \lim_{n\to\infty} P\left(\bigcap_{k\geq n} A_k\right).$$

As $\bigcap_{k\geq n} A_k \subseteq A_n$, we have $P\left(\bigcap_{k\geq n} A_k\right) \leq P(A_n)$ for each n, which gives us

$$P(\liminf A_n) \leq \liminf_{n\to\infty} P(A_n).$$

Similarly, since $\limsup A_n = \bigcap_{n=1}^{\infty} \bigcup_{k\geq n} A_k$, by continuity from above,

$$P(\limsup A_n) = \lim_{n\to\infty} P\left(\bigcup_{k\geq n} A_k\right).$$

As $A_n \subseteq \bigcup_{k\geq n} A_k$, we have $P(A_n) \leq P\left(\bigcup_{k\geq n} A_k\right)$ for each n, hence we can prove that

$$\limsup_{n\to\infty} P(A_n) \leq P(\limsup A_n).$$

□

Remark 2.8. $A_n \uparrow$ or $A_n \downarrow$ is sufficient for the limit to exist.

Definition 2.9. Let $\Omega = \mathbb{R}$ and P be a probability measure on $\mathbb{R}$ and define $F : \mathbb{R} \to \mathbb{R}$ such that $F(x) = P((-\infty, x])$. Then, F has the following properties:

(1) F is non-decreasing in $\mathbb{R}$

(2) F is right-continuous

(3) $\lim_{x\to-\infty} F(x) = 0$ and $\lim_{x\to\infty} F(x) = 1$

Proof. (1) To show that F is non-decreasing, let $x < y$. Then $(-\infty, x] \subseteq (-\infty, y]$, so $F(x) = P((-\infty, x]) \leq P((-\infty, y]) = F(y)$.

(2) To show that F is right-continuous, let $x_n \downarrow x$. Then $(-\infty, x_n] \downarrow (-\infty, x]$, so by continuity from above, $F(x_n) \to F(x)$.

(3) As $x \to -\infty$, we have $(-\infty, x] \to \emptyset$, so $F(x) \to 0$. As $x \to \infty$, we have $(-\infty, x] \to \mathbb{R}$, so $F(x) \to 1$.

□

2.2.1 Other structures

Definition 2.10. Consider a class $\mathcal{S}$ of subsets of Ω. We call $\mathcal{S}$ a π-system if it is closed under finite intersections, i.e. if $A, B \in \mathcal{S}$ then $A \cap B \in \mathcal{S}$ and by induction $A_1 \cap A_2 \cap \cdots \cap A_n \in \mathcal{S}$ for any finite collection of sets in $\mathcal{S}$. We call $\mathcal{S}$ a λ-system if it satisfies the following:

(1) $\Omega \in \mathcal{S}$

(2) If $A, B \in \mathcal{S}$ and $A \subseteq B$ then $B \setminus A \in \mathcal{S}$

(3) $A_1 \subseteq A_2 \subseteq \cdots$ and $A_i \in \mathcal{S}$ for all i then $\lim \uparrow A_i = \bigcup_{i=1}^{\infty} A_i \in \mathcal{S}$

Equivalently we can define a λ-system as follows:

(1) $\Omega \in \mathcal{S}$

(2) If $A \in \mathcal{S}$ then $A^c \in \mathcal{S}$

(3) If $A_1, A_2, \ldots$ is a sequence of disjoint sets in $\mathcal{S}$ then $\bigcup_{n=1}^{\infty} A_n \in \mathcal{S}$

Proof of the equivalence of the definitions. Suppose that $\mathcal{S}$ is a λ-system according to the first definition. Then $\Omega \in \mathcal{S}$ and if $A \in \mathcal{S}$ then $A^c = \Omega \setminus A \in \mathcal{S}$. If $A_1, A_2, \ldots$ is a sequence of disjoint sets in $\mathcal{S}$ then we can define $B_n = \bigcup_{i=1}^{n} A_i$. Then $B_n \subseteq B_{n+1}$ and $B_n \in \mathcal{S}$ for all n. Therefore, $\lim_{n\to\infty} B_n = \bigcup_{n=1}^{\infty} A_n \in \mathcal{S}$.

Conversely, suppose that $\mathcal{S}$ is a λ-system according to the second definition. Then $\Omega \in \mathcal{S}$ and if $A, B \in \mathcal{S}$ and $A \subseteq B$ then $B \setminus A = B \cap A^c \in \mathcal{S}$. If $A_1, A_2, \ldots$ is a sequence of sets in $\mathcal{S}$ such that $A_1 \subseteq A_2 \subseteq \cdots$, then we can define $B_n = A_n$ for all n. Then B_n is a sequence of disjoint sets in $\mathcal{S}$ and $\lim_{n\to\infty} B_n = \bigcup_{n=1}^{\infty} A_n \in \mathcal{S}$. □

Definition 2.11. Given a class $\mathcal{C}$ and a structure $\mathcal{S}$ being one of the structures defined previously, then $\mathcal{S}(\mathcal{C})$ is the smallest structure that contains $\mathcal{C}$, i.e. if $\mathcal{S}'$ is a structure such that $\mathcal{C} \subseteq \mathcal{S}'$ then $\mathcal{C} \subseteq \mathcal{S}(\mathcal{C})$ and $\mathcal{S}(\mathcal{C}) \subseteq \mathcal{S}'$.

Proposition 2.2. *Let P_1, P_2 be two probability measures on $(\Omega, \mathcal{B})$ and define*

$$\mathcal{L} = \{A : P_1(A) = P_2(A)\}$$

then $\mathcal{L}$ is a λ-system.

Proof. We need to show that $\mathcal{L}$ satisfies the three properties of a λ-system.

(1) $\Omega \in \mathcal{L}$ because $P_1(\Omega) = P_2(\Omega) = 1$.

(2) If $A \in \mathcal{L}$ then $P_1(A) = P_2(A)$ and $P_1(A^c) = 1 - P_1(A) = 1 - P_2(A) = P_2(A^c)$, so $A^c \in \mathcal{L}$.

(3) If $A_1, A_2, \ldots$ is a sequence of disjoint sets in $\mathcal{L}$, then $P_1(A_i) = P_2(A_i)$ for all i. By σ-additivity, we have
$$P_1\left(\bigcup_{i=1}^{\infty} A_i\right) = \sum_{i=1}^{\infty} P_1(A_i) = \sum_{i=1}^{\infty} P_2(A_i) = P_2\left(\bigcup_{i=1}^{\infty} A_i\right)$$
so $\bigcup_{i=1}^{\infty} A_i \in \mathcal{L}$.

□

Theorem 2.2 (Dynkin's π-λ theorem)**.** *If $\mathcal{P}$ is a π-system and $\mathcal{L}$ is a λ-system such that $\mathcal{P} \subseteq \mathcal{L}$, then $\sigma(\mathcal{P}) \subseteq \mathcal{L}$. Moreover, if $\mathcal{C}$ is a π-system, then $\sigma(\mathcal{C}) = \lambda(\mathcal{C})$.*

Corollary 2.2. *If P_1, P_2 are probability measures on $(\Omega, \mathcal{B})$ and if $\mathcal{P}$ is a π-system such that $P_1(A) = P_2(A)$ for all $A \in \mathcal{P}$, then $P_1(B) = P_2(B)$ for all $B \in \sigma(\mathcal{P})$.*

Proof. Follows from the previous proposition and Dynkin's π-λ theorem. □

Corollary 2.3. *$\mathcal{P} = \{(-\infty, x] : x \in \mathbb{R}\}$ is a π-system and for all x, y we have*
$$(-\infty, x] \cap (-\infty, y] = (-\infty, x \wedge y].$$
Also P generates the Borel sets. If F_1, F_2 are two cumulative distribution functions that agree on each x then $F_1(x) = F_2(x)$ for all x and therefore $P_1((\infty, x]) = P_2((-\infty, x])$ where $P_i(-\infty, x]) = F_i(x)$ for $i = 1, 2$.

Proof of Dynkin's π-λ theorem.
Claim (Claim 0). It is enough to show that $\lambda(\mathcal{P})$ is a π-system.

Proof of Claim 0. If $\lambda(\mathcal{P})$ is a π-system, since its also a λ-system, then it is a σ-algebra. Since $\mathcal{P} \subseteq \lambda(\mathcal{P})$ and $\lambda(\mathcal{P})$ is now a σ-algebra, by minimality of $\sigma(\mathcal{P})$ we have $\sigma(\mathcal{P}) \subseteq \lambda(\mathcal{P})$. Now, since $\mathcal{P} \subseteq \mathcal{L}$ and $\mathcal{L}$ is a λ-system, by minimality of $\lambda(\mathcal{P})$ we have $\lambda(\mathcal{P}) \subseteq \mathcal{L}$, and therefore $\sigma(\mathcal{P}) \subseteq \mathcal{L}$. □

We focus on proving that $\lambda(\mathcal{P})$ is a π-system. Let $A \in \mathcal{B}$ and define
$$\mathcal{G}_A = \{B \in \mathcal{B} : A \cap B \in \lambda(\mathcal{P})\}$$

Claim (Claim 1). If $A \in \lambda(\mathcal{P})$ then $\mathcal{G}_A$ is a λ-system.

Proof of Claim 1. We need to check that:

- $\Omega \in \mathcal{G}_A$ because $A \cap \Omega = A \in \lambda(\mathcal{P})$.
- Suppose $B \in \mathcal{G}_A$, so $A \cap B \in \lambda(\mathcal{P})$. Since $A \cap B \subseteq A$ and both $A \cap B, A \in \lambda(\mathcal{P})$, and $\lambda(\mathcal{P})$ is a λ-system (closed under differences of nested sets), we get $A \cap B^c = A \setminus (A \cap B) \in \lambda(\mathcal{P})$, i.e. $B^c \in \mathcal{G}_A$.
- Let $\{B_j\}$ $j \geq 1$ be disjoint such that $B_j \in \mathcal{G}_A$ for all j. Then, $A \cap B_j \in \lambda(\mathcal{P})$ for all j and $A \cap B_j$ are disjoint. Since $\lambda(\mathcal{P})$ is a λ-system, we have $\bigcup_{j=1}^{\infty}(A \cap B_j) = A \cap \left(\bigcup_{j=1}^{\infty} B_j\right) \in \lambda(\mathcal{P})$, so $\bigcup_{j=1}^{\infty} B_j \in \mathcal{G}_A$.

□

Claim (Claim 2). If $A \in \mathcal{P}$ then $\mathcal{G}_A$ contains $\mathcal{P}$.

Proof. First, observe that $A \in \mathcal{P} \subseteq \lambda(\mathcal{P})$, but by Claim 1, $\mathcal{G}_A$ is a λ-system. Now, for any $B \in \mathcal{P}$, since $\mathcal{P}$ is a π-system, we have $A \cap B \in \mathcal{P} \subseteq \lambda(\mathcal{P})$. Therefore, $B \in \mathcal{G}_A$, which shows that $\mathcal{G}_A$ contains all of $\mathcal{P}$. □

By minimality of $\lambda(\mathcal{P})$, we have $\lambda(\mathcal{P}) \subseteq \mathcal{G}_A$. In particular, since $A \in \lambda(\mathcal{P})$, we have $A \in \mathcal{G}_A$, which means that $A \cap A = A \in \lambda(\mathcal{P})$. Now, for any $B \in \lambda(\mathcal{P})$, we have $B \in \mathcal{G}_A$ by the previous argument, which means that $A \cap B \in \lambda(\mathcal{P})$. This shows that $\lambda(\mathcal{P})$ is closed under finite intersections, and hence is a π-system.

□

2.3 Construction of Probability Measures

Skeleton 2.1. Given a probability measure P on a semi-algebra $\mathcal{S}$ we can extend to a probability measure P_1 on the generated algebra $\mathcal{F} = \mathcal{A}(\mathcal{S})$. We have that $P_1 \mid \mathcal{S} = P$, we can extend once again to a probability measure on $\sigma(\mathcal{F})$.

Definition 2.12. A semi-algebra $\mathcal{S}$ is a class of subsets of Ω such that:

(1) $\emptyset, \Omega \in \mathcal{S}$

(2) $\mathcal{S}$ is a π-system, i.e., if $A, B \in \mathcal{S}$ then $A \cap B \in \mathcal{S}$

(3) If $A \in \mathcal{S}$ then A^c can be expressed as a finite disjoint union of sets in $\mathcal{S}$, i.e. $A^c = \bigcup_{i=1}^n C_i$ where $C_i \in \mathcal{S}$ and $C_i \cap C_j = \emptyset$ for $i \neq j$.

Remark 2.9. This structure is motivated by the intervals $(a, b]$ where $-\infty \leq a \leq b \leq \infty$. Note that $(-\infty, b] \in \mathcal{S}$ where $\mathcal{S} = \{(a, b] : -\infty \leq a \leq b \leq \infty\}$, $(a, b]^c = (-\infty, a] \cup (b, \infty)$ obviously disjoint.

Definition 2.13. A rectangle A in $\mathbb{R}^k$ has the form

$$A = I_1 \times I_2 \times \cdots \times I_k$$

where I_i is an interval of the form $(a, b]$. We write $I_j \in S_1$ where

$$S_1 = \{(a, b] : -\infty \leq a \leq b \leq \infty\}$$

. Obviously, $\emptyset, \Omega$ belong to the collection of rectangles

$$S_k = \{A = I_1 \times I_2 \times \cdots \times I_k : I_i \in S_1\}$$

and it is clear that the intersection of rectangles is a rectangle. In general,

$$A = I_1 \times I_2 \times \cdots \times I_k = \{(x_1, \cdots, x_k) : x_j \in I_j \quad \forall j = 1, \ldots, k\}$$

and

$$A^c = \left(\bigcap_{j=1}^{k} \{(x_1, \ldots, x_n) : x_j \in I_j\} \right)^c = \bigcup_{j=1}^{k} \{(x_1, \ldots, x_n) : x_j \in I_j^c\}$$

. Since each of the sets $\{x_1, \ldots, x_k) : x_j \in I_j^c\}$ are disjoint rectangles, this proves the 3rd property of a semi-algebra.

Lemma 2.2. *Given a semi-algebra $\mathcal{S}$, let $\mathcal{A}(S)$ be the smallest algebra generated by $\mathcal{S}$. Define*

$$\mathcal{A}(\mathcal{S}) = \{\sum_{i\in I} S_i : I \text{ is a finite index set and } S_i \in \mathcal{S}\}$$

where $\sum_{i\in I} S_i$ is a disjoint union of sets in $\mathcal{S}$ and denote

$$\Lambda = \{\sum_{i\in I} S_i : I \text{ is a finite index set and } S_i \in \mathcal{S}\}$$

Proof. It is clear that each $A \in \Lambda$ is a union of sets in $\mathcal{S}$ so a union of sets in $\mathcal{A}(\mathcal{S})$ hence $A \in \mathcal{A}(\mathcal{S})$ by the additivity of $\mathcal{A}(\mathcal{S})$ and the finiteness of the index set I, thus $\Lambda \subseteq \mathcal{A}(\mathcal{S})$. Now we need to prove the other containement, clearly: each set $S \in \mathcal{S}$ belongs to Λ, take I to be a sigleton. Now, $\Omega \in \Lambda$ because $\Omega \in \mathcal{S}$. Now lets prove the 3rd property, if $\sum_{i\in I} S_i$ and $\sum_{j\in J} S_j$ are both in Λ. Then,

$$\left(\sum_{i\in I} S_i\right) \cap \left(\sum_{j\in J} S_j\right) = \sum_{(i,j)\in I\times J} S_i S_j$$

Since S_i and S_j are in $\mathcal{S}$, then $S_i \cap S_j \in \mathcal{S}$, and the index set $I \times J$ is finite, thus $\left(\sum_{i\in I} S_i\right) \cap \left(\sum_{j\in J} S_j\right) \in \Lambda$. Now, if $\sum_{i\in I} S_i \in \Lambda$, then $\left(\sum_{i\in I} S_i\right)^c = \bigcap_{i\in I} S_i^c$. Since S_i^c can be expressed as a finite disjoint union of sets in $\mathcal{S}$, we have that $\left(\sum_{i\in I} S_i\right)^c$ can also be expressed as a finite disjoint union of sets in $\mathcal{S}$, thus $\left(\sum_{i\in I} S_i\right)^c \in \Lambda$. Therefore, Λ is an algebra and since it contains $\mathcal{S}$, we have that $\mathcal{A}(\mathcal{S}) = \Lambda$. □

Theorem 2.3 (First Extension Theorem)**.** *Let $\mathcal{S}$ be a semi-algebra and let P be a probability measure on $\mathcal{S}$*

$$P : \mathcal{S} \to [0,1] \quad P(\Omega) = 1 \quad P \text{ is } \sigma - \text{additive}$$

Then P has a unique extension to a σ-additive probability measure on the algebra $\mathcal{A}(\mathcal{S})$ generated by $\mathcal{S}$.

Proof. Let $A \in \mathcal{A}(\mathcal{S})$. Then

$$A = \sum_{i\in I} S_i,$$

where I is a finite index set and $S_i \in \mathcal{S}$ for all i. Define

$$P'(A) = \sum_{i\in I} P(S_i).$$

P' is well-defined. Suppose that

$$A = \sum_{i\in I} S_i = \sum_{j\in J} S_j.$$

We need to show that

$$\sum_{i\in I} P(S_i) = \sum_{j\in J} P(S_j).$$

Since $S_i \subseteq A$, we have

$$S_i = S_i \cap A = S_i \cap \bigcup_{j\in J} S_j = \sum_{j\in J} S_i S_j.$$

So,

$$\sum_{i\in I} P(S_i) = \sum_{i\in I} P\left(\sum_{j\in J} S_i S_j\right).$$

By the additivity of P on $\mathcal{S}$,

$$\sum_{i\in I}\sum_{j\in J} P(S_i S_j) = \sum_{j\in J}\sum_{i\in I} P(S_j S_i).$$

Then, once more by additivity,

$$\sum_{j\in J} P\left(\sum_{i\in I} S_j S_i\right) = \sum_{j\in J} P(S_j).$$

Therefore, P' is well-defined.

Obviously, $P'(A) \in [0,1]$ and $P'(\Omega) = P(\Omega) = 1$, so it remains to show that P' is σ-additive on $\mathcal{A}(\mathcal{S})$.

σ-additivity of P'. Let $\{A_i\}_{i=1}^{\infty}$ be a sequence of disjoint sets with $A_i \in \mathcal{A}(\mathcal{S})$ for all i, and suppose

$$A := \bigcup_{i=1}^{\infty} A_i \in \mathcal{A}(\mathcal{S}).$$

We need to show that

$$P'\left(\bigcup_{i=1}^{\infty} A_i\right) = \sum_{i=1}^{\infty} P'(A_i).$$

Since $A_i \in \mathcal{A}(\mathcal{S})$, write

$$A_i = \sum_{j\in J_i} S_{ij},$$

where J_i is a finite index set and $S_{ij} \in \mathcal{S}$ for all j. Since $A \in \mathcal{A}(\mathcal{S})$, write

$$A = \sum_{k\in K} S_k,$$

where K is a finite index set and $S_k \in \mathcal{S}$. Thus,

$$P'(A) = \sum_{k\in K} P(S_k).$$

As before,

$$S_k = S_k \cap A = S_k \cap \left(\sum_{i=1}^{\infty} A_i\right) = \sum_{i=1}^{\infty} S_k \cap A_i = \sum_{i=1}^{\infty} S_k \cap \left(\sum_{j\in J_i} S_{ij}\right) = \sum_{i=1}^{\infty}\sum_{j\in J_i} S_k \cap S_{ij}.$$

Now $S_k \cap S_{ij} \in \mathcal{S}$, and

$$\sum_{i=1}^{\infty}\sum_{j\in J_i} S_k \cap S_{ij} \in \mathcal{S}.$$

By σ-additivity of P on $\mathcal{S}$,

$$P'(A) = \sum_{k\in K} P(S_k) = \sum_{k\in K} P\left(\sum_{i=1}^{\infty}\sum_{j\in J_i} S_k \cap S_{ij}\right) = \sum_{k\in K}\sum_{i=1}^{\infty}\sum_{j\in J_i} P(S_k S_{ij}) = \sum_{i=1}^{\infty}\sum_{j\in J_i}\sum_{k\in K} P(S_k S_{ij}),$$

and by finite additivity,

$$\sum_{i=1}^{\infty}\sum_{j\in J_i} P(S_{ij}) = \sum_{i=1}^{\infty} P\left(\sum_{j\in J_i} S_{ij}\right) = \sum_{i=1}^{\infty} P(A_i).$$

Combining the two displays,

$$P'(A) = \sum_{i=1}^{\infty} P(A_i) = \sum_{i=1}^{\infty} P'(A_i),$$

which establishes σ-additivity of P' on $\mathcal{A}(\mathcal{S})$. Remains to show uniqueness, so suppose that P_1' and P_2' are two extensions of P to $\mathcal{A}(\mathcal{S})$. Then for any $A \in \mathcal{A}(\mathcal{S})$, we can write $A = \sum_{i\in I} S_i$ where $S_i \in \mathcal{S}$ and I is a finite index set. Then, by the definition of the extension, we have

$$P_1'(A) = \sum_{i\in I} P(S_i) = P_2'(A)$$

which proves that $P_1' = P_2'$ on $\mathcal{A}(\mathcal{S})$ and therefore the extension is unique. □

Theorem 2.4 (Second Extension Theorem)**.** *If P is a σ-additive probability measure on an algebra $\mathcal{A}$, then P has a unique extension to a σ-additive probability measure on the σ-algebra $\sigma(\mathcal{A})$ generated by $\mathcal{A}$.*

Proof. Let $\mathcal{G} = \{\bigcup_{i=1}^{\infty} A_i \,|\, A_i \in \mathcal{A}\}$ be the collection of countable unions of sets in $\mathcal{A}$. If $G \in \mathcal{G}$, then $G = \bigcup_{i=1}^{\infty} A_i = \lim_{n\to\infty} \uparrow B_n, \qquad B_n = \bigcup_{i=1}^{n} A_i \in \mathcal{A}$ for all n. Define $\Pi(G) = \lim_{n\to\infty} \uparrow P(B_n)$. Clearly, $\Pi(A) = P(A), \qquad A \in \mathcal{A}$.

‘‘‘ Some properties of Π are as follows:

(1) $\Omega, \emptyset \in \mathcal{G}$ and

$$\Pi(\Omega) = 1, \qquad \Pi(\emptyset) = 0.$$

(2)

$$0 \le \Pi(G) \le 1 \qquad \text{for all } G \in \mathcal{G}.$$

(3) If $G_1, G_2 \in \mathcal{G}$, then

$$G_1 \cup G_2 \in \mathcal{G}, \qquad G_1 \cap G_2 \in \mathcal{G},$$

and

$$\Pi(G_1 \cup G_2) + \Pi(G_1 \cap G_2) = \Pi(G_1) + \Pi(G_2).$$

Thus, Π is finitely additive on $\mathcal{G}$.

(4) Π is monotone on $\mathcal{G}$.

(5) Π is continuous from below: if $G_n \in \mathcal{G}$ and

$$G_n \uparrow G \in \mathcal{G},$$

then

$$\Pi(G) = \lim_{n\to\infty} \uparrow \Pi(G_n).$$

(6) Π is σ-additive on $\mathcal{G}$.

Thus, after proving these properties, we can extend P on $\mathcal{A}$ to a σ-additive probability measure Π on $\mathcal{G}$.

We now extend Π to $\mathcal{P}(\Omega)$ by defining, for every $A \in \mathcal{P}(\Omega)$,

$$\Pi^*(A) = \inf \{\Pi(G) \,|\, G \in \mathcal{G} \text{ and } A \subseteq G\}.$$

Observe that

$$\Pi^*|_{\mathcal{G}} = \Pi.$$

For every $A_1, A_2 \in \mathcal{P}(\Omega)$, we have

$$\Pi^*(A_1 \cup A_2) + \Pi^*(A_1 \cap A_2) \leq \Pi^*(A_1) + \Pi^*(A_2).$$

Thus, the inequality may be strict or an equality depending on the sets, so we do not have additivity in general, and therefore we cannot conclude σ-additivity.

Define

$$\mathcal{D} = \{D \in \mathcal{P}(\Omega) \,|\, \Pi^*(D) + \Pi^*(D^c) = 1\}.$$

One can prove that $\mathcal{D}$ is a σ-algebra and that Π^* is a probability measure on $(\Omega, \mathcal{D})$. In particular, Π^* is σ-additive on $\mathcal{D}$.

We can see that

$$\mathcal{D} \supseteq \mathcal{A}.$$

By the minimality of $\sigma(\mathcal{A})$, it follows that

$$\mathcal{D} \supseteq \sigma(\mathcal{A}).$$

Moreover,

$$\Pi^*|_{\mathcal{A}} = P.$$

Thus, we have extended P to a σ-additive probability measure on $\sigma(\mathcal{A})$.

Uniqueness follows from Dynkin's π-λ theorem, since $\mathcal{A}$ is a π-system and $\sigma(\mathcal{A})$ is the smallest σ-algebra containing $\mathcal{A}$. "'

□

Definition 2.14 (Lebesgue measure)**.** Begin with intervals of the form $(a, b]$ where $-\infty \leq a \leq b \leq \infty$. Define the semi-algebra $\mathcal{S} = \{(a, b] : -\infty \leq a \leq b \leq \infty\}$ and define $P((a, b]) = b - a$. By the first extension theorem, we can extend P to a probability measure on the algebra generated by $\mathcal{S}$, and by the second extension theorem, we can extend P to a probability measure on the σ-algebra generated by $\mathcal{S}$, which is the Borel σ-algebra. This measure is called the Lebesgue measure. To show additivity, we can write

$$(a, b] = \bigcup_{i=0}^{n-1} (a_i, a_{i+1}]$$

then

$$P((a, b]) = \sum_{i=0}^{n-1} P((a_i, a_{i+1}]) = \sum_{i=0}^{n-1} (a_{i+1} - a_i) = b - a$$

which shows that P is additive on $\mathcal{S}$. To show σ-additivity, we can write

$$(a, b] = \bigcup_{i=0}^{\infty} (a_i, a_{i+1}]$$

then

$$P((a,b]) = \sum_{i=0}^{\infty} P((a_i, a_{i+1}]) = \sum_{i=0}^{\infty}(a_{i+1} - a_i) = b - a$$

which shows that P is σ-additive on $\mathcal{S}$. Alternatively we can use a compactness argument to show that P is σ-additive on $\mathcal{S}$. Begin with a sequence of disjoint intervals $(a_i, b_i]$ such that $\bigcup_{i=0}^{\infty}(a_i, b_i] = (a, b]$. Then, for any n, we have

$$(a,b] \subseteq \bigcup_{i=0}^{n}(a_i, b_i]$$

and therefore

$$b - a = P((a,b]) \leq P\left(\bigcup_{i=0}^{n}(a_i, b_i]\right) = \sum_{i=0}^{n} P((a_i, b_i]) = \sum_{i=0}^{n}(b_i - a_i)$$

which shows that $b - a \leq \sum_{i=0}^{\infty}(b_i - a_i)$. Now, for any $\epsilon > 0$, we can find a finite subcover of the intervals $(a_i - \epsilon/2^i, b_i + \epsilon/2^i)$ that covers $(a, b]$ and therefore we have

$$b-a = P((a,b]) \leq P\left(\bigcup_{i=0}^{n}(a_i - \epsilon/2^i, b_i + \epsilon/2^i)\right) = \sum_{i=0}^{n} P((a_i-\epsilon/2^i, b_i+\epsilon/2^i)) = \sum_{i=0}^{n}(b_i-a_i+\epsilon/2^{i-1})$$

which shows that $b - a \leq \sum_{i=0}^{\infty}(b_i - a_i) + \epsilon$. Since ϵ is arbitrary, we have $b - a \leq \sum_{i=0}^{\infty}(b_i - a_i)$ and therefore P is σ-additive on $\mathcal{S}$. We will denote the Lebesgue measure by λ and we have $\lambda((a,b]) = b - a$.

Remark 2.10. Given a distribution function F, we can construct a probability measure P_F that extends F to all events in $\mathcal{B}$.

$$P_F((-\infty, x]) = F(x)$$

Given $F(x)$ we define the inverse $F^{-1}(y) = \inf\{t \in \mathbb{R} \mid F(t) \geq y\}$.

Remark 2.11. The inverse is left-continuous.

Claim. $F^{-1}(y) > t$ if and only if $y > F(t)$ equivalently $F^{-1}(y) \leq t$ if and only if $y \leq F(t)$.

Definition 2.15. For $A \in \mathbb{R}$ define

$$\zeta_F(A) = \{x \in (0,1] \mid F^{-1}(x) \in A\}$$

Lemma 2.3. *If $A \in \mathcal{B}(\mathbb{R})$, then $\zeta_F(A) \in \mathcal{B}((0,1])$.*

Proof. Define $\mathcal{G} = \{A \subset \mathbb{R} \mid \zeta_F(A) \in \mathcal{B}((0,1])\}$. Now $\mathcal{G}$ contains finite intervals of the form $(a, b]$ because:

$$\begin{aligned}
\zeta_F((a,b]) &= \{x \in (0,1] \mid F^{-1}(x) \in (a,b]\} \\
&= \{x \in (0,1] \mid a < F^{-1}(x) \leq b\} \\
&= \{x \in (0,1] \mid F(a) < x \leq F(b)\} \\
&= (F(a), F(b)]
\end{aligned}$$

One can check that $\mathcal{G}$ is a σ-algebra, and therefore $\mathcal{B}(\mathbb{R}) \subseteq \mathcal{G}$ by minimality of $\mathcal{B}(\mathbb{R})$, which proves the lemma. □

Definition 2.16. Now define $P_F(A) = \lambda(\zeta_F(A))$ for $A \in \mathcal{B}(\mathbb{R})$, where λ is the Lebesgue measure. Then P_F is a probability measure on $(\mathbb{R}, \mathcal{B}(\mathbb{R}))$.

Equivalence of the inequalities.

Claim. $A(y) = \{t \in \mathbb{R} \mid F(t) \geq y\}$ is closed

Proof of claim. Let $t_n \downarrow t$ and $t_n \in A(y)$ then $F(t_n) \geq y \quad \forall t_n$ then $F(t) = \lim_{n\to\infty} F(t_n) \geq y$ by right-continuity of F and therefore $t \in A(y)$ Now take $t_n \uparrow t$ and $t_n \in A(y)$ then $F(t_n) \geq y \quad \forall t_n$ then $F(t) = \lim_{n\to\infty} F(t_n) \geq y$ by right-continuity of F and therefore $t \in A(y)$. □

Since $A(y)$ is closed, we have that $F^{-1}(y) = \inf A(y) \in A(y)$ and therefore $F(F^{-1}(y)) \geq y$. Now, if $F^{-1}(y) > t$ then $t < F^{-1}(y) = \inf A(y)$ and therefore $t \notin A(y)$ and therefore $F(t) < y$. Conversely, if $F(t) < y$ then $t \notin A(y)$ and therefore $t < F^{-1}(y) = \inf A(y)$.

□

Chapter 3

Random Variables

3.1 Inverse Maps

Definition 3.1. Let

$$X : \Omega \to \Omega'$$

be a mapping. This induces an inverse map

$$X^{-1} : 2^{\Omega'} \to 2^{\Omega}$$

Proposition 3.1. *Some properties of the inverse map:*

(1) $X^{-1}(\emptyset) = \emptyset$*: let* $\omega \in X^{-1}(\emptyset)$*, then* $X(\omega) \in \emptyset$ *which is a contradiction, therefore* $X^{-1}(\emptyset) = \emptyset$*.*

(2) $X^{-1}(\Omega) = \Omega$*: let* $\omega \in \Omega$*, then* $X(\omega) \in \Omega'$ *and therefore* $\omega \in X^{-1}(\Omega') = X^{-1}(\Omega)$*.*

(3) $X^{-1}(A^c) = (X^{-1}(A))^c$*: let* $\omega \in X^{-1}(A^c)$*, then* $X(\omega) \in A^c$ *and therefore* $\omega \notin X^{-1}(A)$*, which means* $\omega \in (X^{-1}(A))^c$*. Conversely, let* $\omega \in (X^{-1}(A))^c$*, then* $\omega \notin X^{-1}(A)$ *and therefore* $X(\omega) \notin A$*, which means* $X(\omega) \in A^c$ *and thus* $\omega \in X^{-1}(A^c)$*.*

(4) $X^{-1}(\bigcup_{i\in I} A_i) = \bigcup_{i\in I} X^{-1}(A_i)$*: let* $\omega \in X^{-1}(\bigcup_{i\in I} A_i)$*, then* $X(\omega) \in \bigcup_{i\in I} A_i$ *and therefore* $X(\omega) \in A_i$ *for some* $i \in I$*, which means* $\omega \in X^{-1}(A_i)$ *for some* $i \in I$ *and thus* $\omega \in \bigcup_{i\in I} X^{-1}(A_i)$*. Conversely, let* $\omega \in \bigcup_{i\in I} X^{-1}(A_i)$*, then* $\omega \in X^{-1}(A_i)$ *for some* $i \in I$ *and therefore* $X(\omega) \in A_i$ *for some* $i \in I$*, which means* $X(\omega) \in \bigcup_{i\in I} A_i$ *and thus* $\omega \in X^{-1}(\bigcup_{i\in I} A_i)$*.*

(5) $X^{-1}(\bigcap_{i\in I} A_i) = \bigcap_{i\in I} X^{-1}(A_i)$*: By De Morgan's of (4).*

Proposition 3.2. *If* $\mathcal{B}$ *is a* σ*-algebra on* Ω'*, then* $X^{-1}(\mathcal{B}) = \{X^{-1}(B) : B \in \mathcal{B}\}$ *is a* σ*-algebra on* Ω*.*

Proof. — check axioms □

Proposition 3.3. *If* C' *is a class of sets in* Ω'*, then* $X^{-1}(\sigma(C')) = \sigma(X^{-1}(C'))$*.*

Definition 3.2. Let $X : (\Omega, \mathcal{F}) \to (\Omega', \mathcal{F}')$ be a mapping. We say that X is measurable if

$$X^{-1}(\mathcal{F}') \subseteq \mathcal{F}$$

In this case, we say that X is a random element and by abuse of notation we write $X \in \mathcal{F} \setminus \mathcal{F}'$. If $\Omega' = \mathbb{R}$ and $\mathcal{F}' = \mathcal{B}(\mathbb{R})$, then we say that X is a random variable. If $\Omega' = \mathbb{R}^k$ and $\mathcal{F}' = \mathcal{B}(\mathbb{R}^k)$, then we say that X is a random vector. If $\Omega' = \mathbb{R}^\infty$ and $\mathcal{F}' = \mathcal{B}(\mathbb{R}^\infty)$, then we say that X is a random sequence.